



“THE INDIVIDUAL INVESTOR *should act consistently as an investor and not as a speculator.”* American economist Benjamin Graham’s advice seems to encompass all that is currently happening in the Indian stock markets. There is an influx of individual investors, many of whom are looking to make a quick gain. The swift and sudden rally in many stocks is fuelling this behaviour. But that does not mean that the Indian stock market is a speculator’s den. The arena is replete with companies that have emerged as consistent wealth creators. Plus, they also boast impressive growth in terms of profitability.

These performers are what the annual BT500 listing is all about. Started in 1992, the ranking of the biggest 500 companies (by market capitalisation) throws up several interesting insights each year. The ranking is based on the average daily market cap for the 12-month period from October 1, 2021, to September 30, 2022. The cumulative market capitalisation of the

BT500 companies this year stands at ₹251.33 lakh crore, registering a growth of 26 per cent. While that is impressive growth, it is significantly lower than last year’s growth of 43.4 per cent. Interestingly, the surge in valuations this year has happened during a period when the benchmark 30-share S&P BSE Sensex lost 3 per cent of its value.

But first, let’s take a look at the

THE WORRY AMONG MARKET PARTICIPANTS IS THAT INDIAN MARKETS ARE RALLYING WHEN MOST OTHER ECONOMIES IN THE WORLD ARE DECELERATING

toppers. Private sector major Reliance Industries retains its top slot from 2021 with an average market cap of ₹17.01 lakh crore, a growth of 20.8 per cent compared to the previous study period. Tata Consultancy Services (TCS) and HDFC Bank retain their No. 2 and No. 3 spots with average market cap of ₹12.81 lakh crore and ₹8.11 lakh crore, respectively. Interestingly, while the IT services major saw its valuation jump 10 per cent, the private sector lender registered a growth of a mere 1.2 per cent in its average valuation over the previous study period. To complete the top five, Infosys and Hindustan Unilever (HUL) also retain their respective holds on the No. 4 and No. 5 ranks, despite the FMCG major registering the lowest profit after tax in FY22—₹8,887 crore—among the top five occupants of the BT500 study.

Interestingly, the bottom half of the top 10 rankings has a mix of new entrants and changed rankings of earlier occupants. ICICI Bank saw its rank improve from No. 7 to No. 6, while pushing down housing finance major HDFC by one rank to No 7. The market cap of ICICI Bank rose 30.9 per cent while that of HDFC fell by a marginal 0.9 per cent during the study period. The largest government-owned lender, State Bank of India, which was ranked No. 10 in last year’s study, registered a strong 41.2 per cent growth in its average market cap to jump two places and settle at No. 8 this year.

Insurance bellwether Life Insurance Corporation of India (LIC), which made a high-profile entry in the stock market this May but has disappointed in terms of post-listing performance, has made its debut in this year’s listing by taking the No. 9 position, followed by telecom major Bharti Airtel at No. 10